Financial Analysis Report

Overall Financial Summary

FY 2024-2025 vs FY 2023-2024

Current FY Data (FY 2024-2025)

Shareholders' Equity: 18,252.53 lakhs
↑ due to significant retention of profit for the year and a bonus issue from reserves.

Equity Share Capital: 11,611.20 lakhs
↑ significantly due to a bonus issue of equity shares.

Total Debt: 7,257.01 lakhs
↓ significantly, primarily due to reduction in long-term borrowings.

Total Debt (Financing Ratio): 22.69% of total assets

Previous FY Data (FY 2023-2024)

Shareholders' Equity: 11,706.64 lakhs
Strengthened by retained profits.

Equity Share Capital: 111.20 lakhs
Stable.

Total Debt: 10,218.75 lakhs
Comprised of long-term and short-term borrowings.

Total Debt (Financing Ratio): 34.03% of total assets

Assets Summary

Total Assets: 31,972.01 lakhs
Total assets increased by 6.51% from 30,027.43 lakhs in FY 2024 to 31,972.01 lakhs in FY 2025, primarily driven by a significant increase in non-current investments.

Property, Plant & Equipment (net) notes: Property, Plant & Equipment (net) increased modestly from 5,994.36 lakhs to 6,214.91 lakhs, suggesting some capital expenditure offset by depreciation.

Current Assets notes: Total Current Assets decreased slightly from 14,500.66 lakhs to 14,154.03 lakhs, mainly due to a reduction in cash and bank balances and short-term loans and advances.

Cash & Bank Balances: Cash & Bank Balances decreased significantly from 3,015.44 lakhs to 2,374.04 lakhs.

Inventory: Inventories decreased from 350.96 lakhs to 229.51 lakhs, remaining a relatively small component of total assets.

Income & Profitability Summary

Revenue from Operations: 38,692.83 lakhs

Revenue from Operations increased by 5.82% from 36,563.83 lakhs in FY 2024 to 38,692.83 lakhs in FY 2025, indicating healthy operational growth.

Other Income notes: Other Income saw a slight increase from 477.70 lakhs to 494.87 lakhs, remaining a minor contributor to total income.

Total Income notes: Total Income increased by 5.79% from 37,041.53 lakhs to 39,187.70 lakhs, consistent with revenue growth.

Operating Expenses notes: Total Operating Expenses increased by 4.16% from 26,705.79 lakhs to 27,816.70 lakhs, a slower pace than revenue growth, reflecting improved cost management.

Key Operating Expenses:

- Cost of Services & Spare Parts Consumed: 19,493.48 lakhs
- Employee Benefit Expenses: 6,154.04 lakhs
- Other Expenses: 2,169.18 lakhs

Finance Costs notes: Finance Costs decreased significantly by 25.07% from 1,117.30 lakhs to 837.25 lakhs, indicating effective debt reduction or refinancing.

Depreciation notes: Depreciation & Amortisation Expense increased slightly from 935.95 lakhs to 1,003.46 lakhs.

Net Profit After Tax: 6,666.27 lakhs

Net Profit After Tax increased by 15.93% from 5,750.06 lakhs to 6,666.27 lakhs, driven by revenue growth and lower finance costs.

Net Profit Margin: 17.23%

Improved from 15.72% to 17.23%, indicating enhanced overall profitability.

Dividends: No dividends were declared for FY 2024-25, similar to prior years, with the entire profit retained to bolster reserves.

Tax Expense: Total Tax Expense increased from 2,228.32 lakhs to 2,384.76 lakhs, commensurate with higher taxable profit.

Liquidity Position

Current Ratio: 1.41x

The Current Ratio improved marginally from 1.38x in FY 2024 to 1.41x in FY 2025, indicating a slightly healthier short-term liquidity position, though still sensitive to current liability management.

Overall Change Notes

Overall, FY 2024-25 showed strong operational growth, significant debt reduction leading to lower finance costs, and improved profitability. The company also strengthened its equity base through profit retention and a bonus issue. While total current assets decreased slightly, liquidity ratios remained relatively stable and improved marginally.

Detailed Ratio Analysis

Liquidity Ratios

Current Ratio

Calculation Formula: Total Current Assets / Total Current Liabilities

Interpretation & Analysis: The Current Ratio improved slightly from 1.38x in FY 2023-2024 to 1.41x in FY 2024-2025. This indicates a modest improvement in the company's ability to cover its short-term obligations with its short-term assets. A ratio above 1.0x is generally considered healthy, and the company maintains this position, suggesting adequate short-term liquidity.

Quick Ratio

Calculation Formula: (Total Current Assets – Inventories) / Total Current Liabilities

Interpretation & Analysis: The Quick Ratio also showed a slight improvement from 1.35x in FY 2023-2024 to 1.39x in FY 2024-2025. This indicates that the company's ability to meet its short-term obligations without relying on inventory sales has slightly strengthened. Given the nature of the business (transport services), inventories are a small component, so the Quick Ratio is close to the Current Ratio, indicating good quality of current assets.

Solvency Ratios

Debt-to-Equity Ratio

Calculation Formula: Total Debt / Total Equity

Interpretation & Analysis: The Debt-to-Equity Ratio significantly improved from 0.87x in FY 2023-2024 to 0.40x in FY 2024-2025. This substantial decrease indicates a strong deleveraging effort, where debt has reduced and equity has increased due to profit retention and the bonus issue. This trend significantly strengthens the company's financial structure and reduces its reliance on external debt.

Total Debt to Total Assets Ratio

Calculation Formula: Total Debt / Total Assets

Interpretation & Analysis: This ratio also improved considerably, declining from 0.34x in FY 2023-2024 to 0.23x in FY 2024-2025. This means that a smaller proportion of the company's assets are financed by debt, indicating a stronger financial position and lower insolvency risk. The trend aligns with the improved Debt-to-Equity ratio.

Interest Coverage Ratio

Calculation Formula: EBITDA / Finance Costs

Interpretation & Analysis: The Interest Coverage Ratio significantly improved from 9.25x in FY 2023-2024 to 13.58x in FY 2024-2025. This indicates a robust ability to cover interest obligations from operating profits, primarily due to higher EBITDA and significantly lower finance costs. A higher ratio signifies better debt servicing capacity.

Profitability Ratios

Net Profit Margin

Calculation Formula: Profit for the year / Revenue from Operations

Interpretation & Analysis: The Net Profit Margin improved from 15.72% in FY 2023-2024 to 17.23% in FY 2024-2025. This indicates that the company is converting a larger portion of its revenue into net profit, reflecting strong operational performance, efficient cost management, and reduced finance costs.

EBITDA Margin

Calculation Formula: EBITDA / Revenue from Operations

Interpretation & Analysis: The EBITDA Margin increased from 28.27% in FY 2023-2024 to 29.39% in FY 2024-2025. This indicates an improvement in the company's core operational profitability, demonstrating effective cost control relative to revenue growth before accounting for depreciation, interest, and taxes.

Return on Equity

Calculation Formula: Profit for the year / Total Equity

Interpretation & Analysis: Return on Equity decreased from 49.12% in FY 2023-2024 to 36.52% in FY 2024-2025. While net profit increased, the substantial increase in Total Equity (due to profit retention and bonus issue) outpaced the profit growth, leading to a lower ROE. Despite the decrease, the ROE remains very strong, indicating efficient use of shareholders' funds to generate profit.

Return on Assets

Calculation Formula: Profit for the year / Total Assets

Interpretation & Analysis: Return on Assets improved from 19.15% in FY 2023-2024 to 20.85% in FY 2024-2025. This indicates that the company is generating more profit for each unit of assets it employs, reflecting improved overall asset utilization and profitability.

Efficiency Ratios

Inventory Turnover

Calculation Formula: Cost of Services & Spare Parts Consumed / Inventories

Interpretation & Analysis: Inventory Turnover significantly increased from 52.84x in FY 2023-2024 to 84.93x in FY 2024-2025. This high turnover ratio suggests that the company holds minimal inventory relative to its consumption, indicating very efficient inventory management and a fast-moving stock, which is typical for a service-oriented business primarily dealing with spare parts and consumables.

Trade Receivables Turnover

Calculation Formula: Revenue from Operations / Trade Receivables

Interpretation & Analysis: Trade Receivables Turnover slightly decreased from 8.56x in FY 2023-2024 to 8.10x in FY 2024-2025. This indicates a minor slowdown in the collection of receivables, meaning it takes slightly longer to collect payments from customers. While still a healthy turnover, it warrants monitoring.

Trade Payables Turnover

Calculation Formula: Cost of Services & Spare Parts Consumed / Trade Payables

Interpretation & Analysis: Trade Payables Turnover significantly decreased from 12.00x in FY 2023-2024 to 6.35x in FY 2024-2025. This indicates that the company is taking longer to pay its suppliers. While this can improve cash flow by extending payment terms, a sharp drop could also signal liquidity management challenges or a strategic shift in supplier relationships.

Specific Financial Deep Dive

Operating Margin Stability

Assessment: Stable with an improving trend.

Details: The EBITDA margin showed a positive trend, increasing from 28.27% in FY 2023-2024 to 29.39% in FY 2024-2025. This indicates improved operational efficiency and cost control. While revenue from operations grew from 36,563.83 lakhs to 38,692.83 lakhs, EBITDA grew at a faster pace from 10,335.74 lakhs to 11,371.00 lakhs, signifying better core business profitability. .

Other Income Scrutiny

Assessment: Stable and routine, with an increasing contribution from Profit on Sale of Investments.

Details: Other income saw a slight increase from 477.70 lakhs in FY 2023-2024 to 494.87 lakhs in FY 2024-2025. A notable component is 'Profit on Sale of Investment', which increased from 137.83 lakhs to 298.86 lakhs. While still relatively small compared to Revenue from Operations, this significant increase suggests potential opportunistic divestments or rebalancing of the investment portfolio. 'Interest income on fixed deposits with banks' decreased from 291.22 lakhs to 147.23 lakhs. .

Earnings Quality Assessment

Assessment: Insufficient data for detailed analysis.

Details: Insufficient data available for analysis (Cash Flow Statement not provided). Therefore, a direct comparison between 'Profit for the year' and 'Net Cash from Operating Activities' cannot be made to assess earnings quality comprehensively.

Working Capital Efficiency

Assessment: Mixed efficiency; improved inventory turnover but extended receivables and payables cycles.

Details: Trade Receivables Turnover decreased from 8.56x to 8.10x, indicating a slight elongation in collection period. Days Sales Outstanding (DSO) increased from approx. 43 days (365/8.56) in FY 2023-2024 to approx. 45 days (365/8.10) in FY 2024-2025. . Trade Payables Turnover significantly decreased from 12.00x to 6.35x, meaning Days Payable Outstanding (DPO) extended from approx. 30 days (365/12.00) to approx. 57 days (365/6.35). This suggests the company is leveraging supplier credit more, potentially to manage its cash flow. . Inventory turnover is very high at 84.93x, indicating efficient inventory management. Overall, the working capital cycle shows a longer credit period being utilized from suppliers while customer collection periods remain relatively stable.

Related Party Transactions And Leakage

Assessment: Related-party transactions are present but do not indicate alarming leakage.

Details: Director Remuneration remained stable at 200.00 lakhs for both FY 2025 and FY 2024. . Short-term loans to related parties are reported at 2,994.25 lakhs in FY 2025, which is largely consistent with 2,975.72 lakhs in FY 2024. . There are no long-term loans and advances to related parties in FY 2025, a decrease from 975.38 lakhs in FY 2024. . The transactions appear to be part of the ordinary course of business, and their magnitude does not immediately suggest disproportionate or non-arm's-length dealings. The decrease in long-term loans to related parties is a positive sign.

Debt Service Capability

Assessment: Strong and significantly improved.

Details: The Interest Coverage Ratio significantly improved to 13.58x in FY 2024-2025 from 9.25x in FY 2023-2024. This indicates that the company's operating profits (EBITDA of 11,371.00 lakhs in FY 2025 vs 10,335.74 lakhs in FY 2024) comfortably cover its finance costs (837.25 lakhs in FY 2025 vs 1,117.30 lakhs in FY 2024). The substantial reduction in finance costs, coupled with increased EBITDA, has greatly enhanced the company's ability to service its debt obligations, reducing financial risk. .

Reinvestment Strategy Capex

Assessment: Primarily maintenance CAPEX, with some expansion.

Details: Gross CAPEX for FY 2024-2025 can be estimated as the change in Property, Plant & Equipment (PPE) plus Depreciation & Amortisation Expense. Net PPE increased from 5,994.36 lakhs in FY 2024 to 6,214.91 lakhs in FY 2025 . Depreciation & Amortisation Expense for FY 2025 was 1,003.46 lakhs . Therefore, estimated Gross CAPEX = (6,214.91 - 5,994.36) + 1,003.46 = 220.55 lakhs + 1,003.46 lakhs = 1,224.01 lakhs. This suggests that CAPEX was slightly more than just maintenance, indicating some investment in new assets or upgrades beyond offsetting depreciation, hinting at a mix of maintenance and modest expansion.

Equity Changes And Promoters

Assessment: Significant increase in equity through a bonus issue and profit retention.

Details: The Paid-up Share Capital increased dramatically from 111.20 lakhs in FY 2023-2024 to 11,611.20 lakhs in FY 2024-2025. This nearly 100-fold increase is primarily due to a bonus issue of 11,114.82 lakhs, which was utilized from reserves (specifically, 'Surplus in the Statement of Profit and Loss'). . Total Equity increased from 11,706.64 lakhs to 18,252.53 lakhs, bolstered by both this bonus issue and the retention of the year's profit of 6,666.27 lakhs. . This indicates a strong commitment to strengthening the equity base through internal accruals rather than fresh external capital, potentially indicating promoter confidence and a desire to improve capital structure.

Non Core Exposure

Assessment: Significant non-current investments, primarily in subsidiaries, but limited other non-core exposures.

Details: None

Investments: Non-current Investments saw a substantial increase from 5,510.54 lakhs in FY 2023-2024 to 9,480.84 lakhs in FY 2024-2025. Key components include Investment in Traveltime City Bus Services (Nagpur) Private Limited of 2,300.00 lakhs and Investment in Traveltime Mobility Services LLP of 5,318.85 lakhs. These represent significant investments in related ventures, indicating strategic expansion or consolidation within the group. There are also quoted equity shares at 1,860.49 lakhs. .

Loans and Advances: Long-term loans and advances to related parties decreased to zero in FY 2024-2025 from 975.38 lakhs in FY 2023-2024. Short-term loans to related parties are substantial at 2,994.25 lakhs in FY 2024-2025. .

Contingent Liabilities: Insufficient data available for contingent liabilities details beyond what is implicitly included in notes. No specific dedicated note on contingent liabilities was found.

Conclusion: The company has significant strategic investments in its subsidiaries, reflecting its core business expansion. While there are short-term loans to related parties, these appear to be part of normal group financing. Overall, aside from strategic investments, there are no other major non-core exposures on the balance sheet, and contingent liabilities details are not provided.